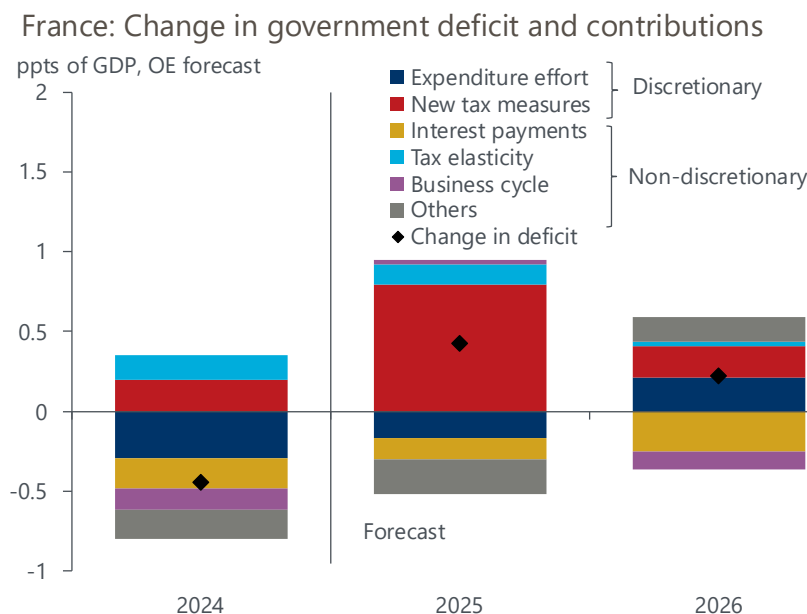


Research Briefing | France

This year's budget extends France's fiscal make-believe

- The 2026 budget brings a measure of political stability to France and, given the limited fiscal tightening, will help preserve growth in the short term. But none of the country's fundamental fiscal challenges are any closer to being resolved.
- Political uncertainty is likely to resurface in the autumn and intensify as we get closer to next year's presidential election. As a result, we don't expect the recent fall in spreads to last.
- The budget provides no credible path for reducing the deficit and prioritises political expediency over structural improvements. Risks to the quite modest deficit reduction it targets are also skewed to less consolidation. We expect the deficit to come in slightly above the 5% GDP target in 2026 and to remain broadly unchanged in 2027.

Chart 1: France's efforts to reduce spending have been minimal so far



Sources: Oxford Economics, Haver Analytics

The lull in political instability brought about by the budget won't last

Spreads on French government bonds have come down by more than 20bps compared to their highs of October 2025, after France's government finally passed its 2026 budget in early February. At around 60bps, spreads are now slightly below Italy and at their lowest level since President Emmanuel Macron called for snap elections in June 2024 ([Chart 2](#)). This market reaction reflects the budget's main merit: it has temporarily reduced political instability.

The budget also represents a somewhat favourable compromise in terms of short-term growth, at least: the extremely limited fiscal tightening won't have a meaningful impact on activity, while the passing of the budget lowers uncertainty for households and businesses. Households, in particular, are mostly spared from tax increases, which will help avoid dampening private consumption. Higher corporate taxation is likely to weigh on employment and business investment, in addition to eroding France's overall attractiveness for business. However, the impact should be spread over several years and won't meaningfully move the needle for this year's growth prospects.

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Chart 2: The recent fall in spreads is unlikely to last



Sources: Oxford Economics, Haver Analytics

However, even though the passing of the budget assuaged short-term political instability, the lull is unlikely to last very long, and we think the recent fall in spreads is overdone.

Uncertainties over the 2027 budget are as high as ever. At this stage, our baseline expectation is that next year's budget will largely roll over the current one, prioritising political stability and leaving the responsibility for tough fiscal choices to the next president, who will take office in May 2027. Even a repeat of this year's imperfect compromise to marginally reduce the deficit appears unlikely at this stage, given the proximity of the presidential election and the fact that recent polls suggest voters don't approve of the centre-left's modest efforts to strike a deal, which were key to passing the 2026 budget. A more disorderly outcome, potentially culminating in the resignation of yet another prime minister and possible early parliamentary elections, cannot be ruled out, although we see this as a less likely scenario for now.

Therefore, we see little scope for additional fiscal consolidation in the short term and expect the 2027 deficit to remain at the same level as in 2026. As we explained in [previous research](#), the conditions for deficit reduction may become somewhat more favourable once a new president takes office next year, but nothing is guaranteed.

In this regard, the recent fall in spreads is unlikely to persist much beyond the first half of the year. We expect a degree of volatility over the autumn as budget negotiations restart, even if deficit reduction ambitions remain minimal. In addition, as was the case in 2017 and to a lesser degree in 2022, heightened uncertainty surrounding the outcome of the presidential election will also push up spreads as the date of the election gets closer. This is especially the case given that the far-right's chances of winning the 2027 contest are substantial and higher than ever, regardless of whether Marine Le Pen is ultimately allowed to run or not.

The targeted modest deficit reduction is surrounded by mild downside risks

The 2026 budget is clearly a compromise, with minimal ambitions in a highly fraught political context. Although the government's initial draft envisaged a substantial effort in terms of headline expenditure reduction, most of it was dropped during parliamentary negotiations, with new tax increases partially offsetting the scaling-back of spending-cut ambitions. [As we expected](#) in August 2025, the supposedly temporary additional levy on large firms, which brought in €8bn in 2025, was extended into 2026, alongside the exceptional tax on high-income households. Other major tax measures include higher taxation of capital income and complementary health insurance providers.

Meanwhile, government spending is under intense pressure from existing commitments in 2026, including increases of military spending by 0.2ppts of GDP, contributions to the EU budget by 0.2ppts of GDP, and interest payments by 0.3ppts of GDP. Outside of these factors, government expenditure would actually fall slightly in real terms ([Chart 3](#)). However, expenditure cuts remain relatively poorly documented, and some

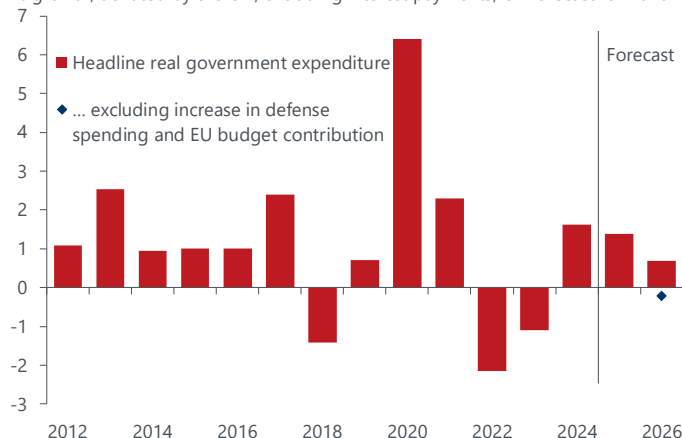
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appear to be little more than window-dressing, drawing on public agencies' excess cash holdings or lowering the amount of annual budgetary funds set aside as a precaution and not initially available for spending. Although the government agreeing to suspend the rollout of Macron's 2023 pension reform will have only a marginal upward impact on social expenditure this year, the effect will be felt from 2027, significantly weighing on fiscal sustainability.

Chart 3: Existing commitments pushed up government expenditure in 2026

France: Real primary government expenditure

% growth, deflated by the CPI, excluding interest payments, OE forecast for 2026



Sources: Oxford Economics, Haver Analytics

Even the government's downwardly revised 5% deficit target is surrounded mostly by downside risks. We think the deficit is likely to settle slightly higher than that, at 5.2% of GDP, barely below 2025's level, which reflects a combination of risks:

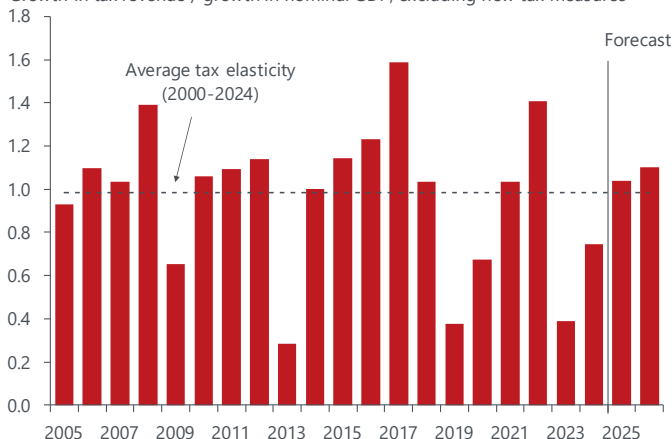
- We think the macroeconomic environment will be somewhat more adverse than what the government expects. At 0.9%, our GDP forecast is a nudge below the government's 1%, while 2026 inflation is also set to be weaker than the 1.3% assumption made in the budget, which would negatively impact tax revenues.
- Some of the planned expenditure cuts may not materialize, as they remain narrowly based and somewhat poorly documented.
- Risks around tax revenues are more balanced. The budget projections have been supported by upside surprises in tax receipts at the end of 2025, with tax revenue growth broadly normalizing relative to activity ([Chart 4](#)). This may yet result in the 2025 deficit coming in marginally below our and the government's expectations when full-year figures are published, thereby making the 2026 target easier to reach. However, while the government expects the current revenue dynamics to broadly persist next year, the downside surprises of recent years warrant caution. Revenues from the recently increased corporate tax are subject to particularly high uncertainty.

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Chart 4: A rebound in tax elasticity supported revenues last year

France: Elasticity of tax revenue to GDP

Growth in tax revenue / growth in nominal GDP, excluding new tax measures



Sources: Oxford Economics, Haver Analytics

The 2026 budget is an exercise in can-kicking in a difficult political context

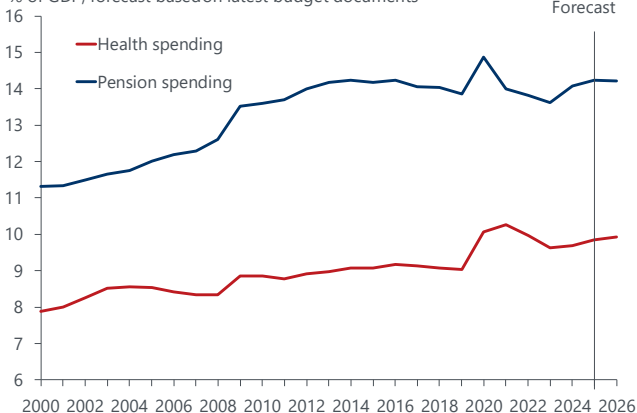
However, the exact decimal point at which the deficit will land this year is not of major importance. The more worrying aspect of the 2026 budget is that it, once again, demonstrates that there's currently no political and popular appetite for meaningful fiscal consolidation, despite France's uniquely high deficit in the Eurozone.

Indeed, rather than embarking on structural reforms that could provide a blueprint for, and increase acceptance of, further consolidation, the budget tinkers around the edges and continues the pretence that France can put its public finances in order without enacting broad-based tax increases or touching social spending, which accounts for around 60% of total government spending but is particularly politically sensitive. Modest steps towards restraining social spending, originally part of the 2026 draft budget, all had to be scrapped during parliamentary negotiations. Worse, the suspension until 2028 of the rollout of the 2023 pension reform, which was set to gradually raise the retirement age to 64, means that the next president will have to spend precious political capital simply to return to the status quo ante, at a time when additional structural reforms are sorely needed.

Chart 5: Social spending is not coming down

France: Main social spending components

% of GDP, forecast based on latest budget documents



Sources: Oxford Economics, Haver Analytics

Consequently, pension spending will remain near historical highs as a share of GDP next year and in the foreseeable future (**Chart 5**). At around 14% of GDP, this is the highest level in the Eurozone despite a comparatively favourable demographic structure, reflecting an early effective retirement age along with

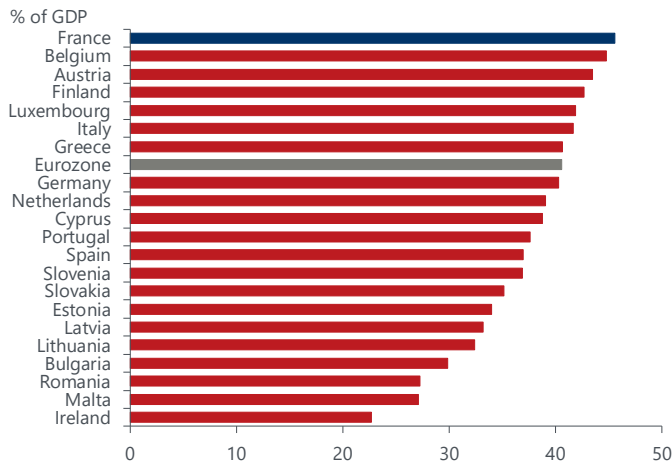
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starkly generous pensions for current retirees. Health spending, which jumped to a durably higher level in the wake of the pandemic and has been a key contributor to France's current fiscal woes, is set to continue rising rapidly.

Instead, most of the limited fiscal consolidation achieved by France since 2024 came on the back of higher taxes on businesses and spontaneous normalization of tax revenues relative to activity, while the fiscal effort in terms of expenditure is set to be broadly zero, on average, over 2025-2026, even when excluding higher interest payments (**Chart 1**).

Chart 6: Despite its high deficit, France has the highest tax rate in the Eurozone

Eurozone: Share of tax revenue in GDP in 2023



Sources: Oxford Economics, Haver Analytics

However, it's highly unlikely that France can achieve the [extensive fiscal consolidation](#) required to stabilize government debt solely through tax increases without curbing government expenditure and social spending, which is where the country stands out in international comparisons. This is particularly true given that tax pressure is already the highest in the Eurozone (**Chart 6**), limiting the scope for further increases. France's tax-to-GDP ratio will rise again in 2026, standing just 1ppt of GDP below the historical highs of the mid-2010s. Rapidly increasing pressure from higher interest payments will also magnify the effort that's required, making structural reforms a prerequisite, in sharp contrast to the path taken in the 2026 budget (**Chart 7**).

Chart 7: Higher interest payments will continue to put pressure on the public balance

France: Interest payments on government debt

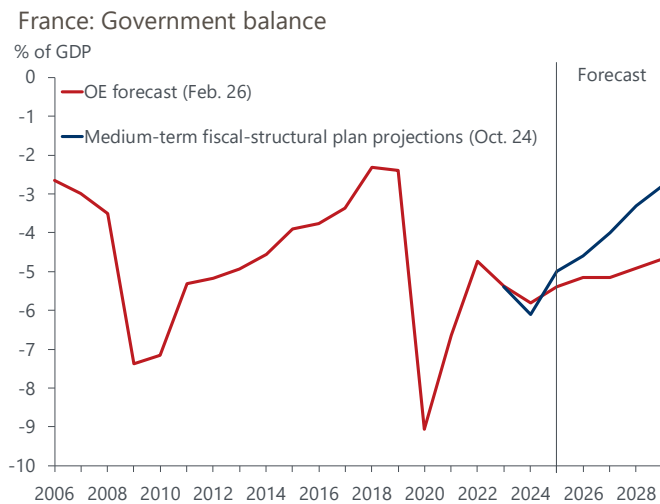


Sources: Oxford Economics, Haver Analytics

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As such, the medium-term path for public finances is blurrier than ever. The latest medium-term projections sent to the European Commission in late 2024 are already obsolete, as they were targeting a deficit of 4.6% of GDP in 2026. This will not happen, making the next targets – 4% in 2027 and 3.3% in 2028 – virtually impossible to reach under the current circumstances (**Chart 8**). France is likely to end up breaching even the new temporarily toned-down EU fiscal rules as early as 2026, as it's not clear whether the country will manage to post the primary structural adjustment of 0.5ppts of GDP that's required. Though this probably won't have direct consequences, this will damage France's position and credibility on other [structural reform issues](#) at the European level, such as Eurobonds.

Chart 8: The government's medium-term fiscal forecast is obsolete



Sources: Oxford Economics, Haver Analytics